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Sandisk Corp (SNDK.O)

Investor Mtg Takeaways: Durable Demand Outlook; eSSD Ramp Ahead; Disciplined Focus on Optimizing Business Model. Reit Buy

CITI'S TAKE

We hosted SNDK's CEO/CFO/IR for investor meetings. Mgmt seemed highly confident in NAND demand durability on continued datacenter demand strength and expanding AI workloads. Longer-term, increasingly higher-quality customer contracts smooth historical cycle volatility and support cash generation. We believe pricing has not yet peaked, with industry data pointing to strong near-term ASP increases. Visibility continues to improve on higher-quality deal mix, plus eSSD qualifications support incremental demand visibility. \$1B private investment in Nanya secures multi-year DRAM supply ahead of mid-CY26 eSSD ramp. TurboQuant is viewed as supportive of broader AI adoption and ultimately storage. We remain constructive on SNDK shares as demand durability, favorable pricing, strong FCF generation ability, debt reduction, and disciplined capital investments should bode favorably for the company. Reiterate Buy.

Highly Confident in Demand Durability Given AI Momentum – Mgmt came across as incrementally more confident in the durability of demand, particularly on continued hyperscaler strength and ongoing traction of AI-related workloads, and its own efforts focusing on favorable deal economics, supportive of cash generation. Increasing qualifications of its eSSD products are yielding subsequent and incremental visibility into customer demand, adding confidence to its demand sustainability observations.

Customer conversations/negotiations indicate emphasis on prioritizing access to NAND supply over price. SNDK's management is focused on strategic relationships that incorporate longer durations (supporting demand durability) with pricing that incorporates some fixed- or floating-price characteristics, which help to smooth out cycle impacts. Price discovery is still underway and, to us, this suggests pricing has room to further tick up. We note TrendForce, as of late March, expects C2Q total NAND ASP to rise 70-75%qq following an 85-90%qq rise in the prior qtr. This comes on the heels of strong industry earnings just a week ago where [we had raised estimates on SNDK](#).

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons
2025A	1.81A	0.99A	-0.30A	0.29A	2.79A	2.99A
2026E	1.21A	6.20A	13.97E	20.76E	42.65E	40.40E
Previous	1.21A	6.20A	13.97E	20.76E	42.65E	na
2027E	25.64E	28.12E	23.88E	24.28E	101.92E	90.51E
Previous	25.64E	28.12E	23.88E	24.28E	101.92E	na
2028E	24.34E	22.24E	18.59E	19.35E	84.53E	79.33E
Previous	24.34E	22.24E	18.59E	19.35E	84.53E	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus.

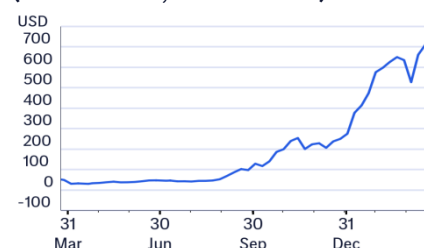
Buy

Short-Term View: Upside, expires 17-JUN-26

Price (26 Mar 26 16:00)	US\$603.17
Target price	US\$875.00
Expected share price return	45.1%
Expected dividend yield	0.0%
Expected total return	45.1%
Market Cap	US\$89,028M

Price Performance

(RIC: SNDK.O, BB: SNDK US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Nanya Investment Secures DRAM Supply and Supports Coming eSSD Ramp –

The primary reason for the private-placement investment (\$1B for Sandisk, or 3.9% of Nanya's outstanding common stock) is to secure stable DRAM supply required for SSD production, particularly its forthcoming eSSDs, which are planned to ramp in mid-CY26. DRAM functions as a cache in high-performance SSDs. We note that unlike many of its integrated competitors, Sandisk does not produce its own DRAM, where this investment in Nanya would mitigate this strategic dependency and help secure the supply of necessary components for it to remain competitive in the eSSD market.

Google TurboQuant Viewpoint Differences – Essentially a compression technology, management sees the TurboQuant benefit as a hyperscaler ROI enhancer; helping to more efficiently scale AI further, and which would then potentially promote broader adoption of AI workloads. In this scenario, lower memory requirements could then be offset by higher overall AI adoption and ultimately support inference-led storage demand rather than weaken it. This is counter to the initial market reaction, which was instead focused on the short-term view that more efficient AI models would simply reduce memory demand. See also [Artificial Intelligence – Google's TurboQuant is AI's Latest Step in Addressing Constraints](#).

Capital Allocation – Mgmt was constructive on its FCF generation resulting in expected shareholder returns in the future.

SNDK continues to invest for growth, and expanded its JV contract, which requires some cash over time. On January 29, 2026, the company committed to an extension of its Kioxia JV (Yokkaichi plant) from its previous expiration in 2029 through 2034. As part of this extension, Sandisk agreed to pay Kioxia a total of \$1.165B in scheduled installments between 2026 and 2029. We add that Sandisk has invested sufficient capital to support its current mid-to-high teen bit growth expectations; however, the company has additional EB flexibility via additional technology node transitions, which would not require significant incremental investment.

Additionally, SNDK has reduced debt to \$650M at the end of last qtr, from \$1.9B post-separation from WDC in mid-2025, and had achieved a net-cash positive position in F1Q26 (ending Sept. 2025), approximately six months ahead of the target the company had previously established during its February 2025 investor day. Mgmt indicated its intention to continue to reduce that over time, followed by shareholder returns (which we believe may include a small amount of dividends) given its strong cash generation ability.

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end-market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash, with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment amidst a highly favorable S/D environment expected to persist through CY27, with limited cleanroom capacity situation supportive of pricing, plus durable underlying datacenter demand, coupled with its Bics8 qualifications serving as a competitive moat, and with ongoing mix to datacenter further benefiting margins longer-term. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players who remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Sandisk's peer set historically trades at (FactSet) median 3-4x EV/sales, and 9-10x P/E. Our target price for SNDK is \$875, where we value shares at 9x CY27 EPS, vs its closest competitor, Kioxia with median of 8-9x, as well as the larger peer group at 9-10x P/E. We note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) macro environment deteriorating and impacting datacenter spend, PC refresh, or AI-PC uptake; and 3) supply-demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK

shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

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Appendix A-1

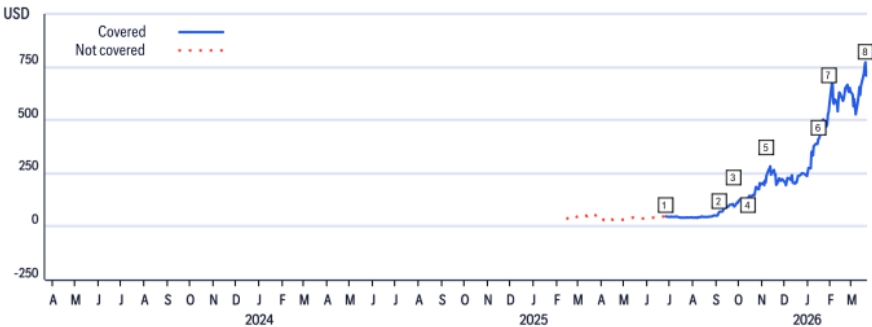
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Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



Date	Rating	Target Price	Closing Price
1 26-Jun-25 04:00:00	*1	*\$7.00	47.44
2 07-Sep-25 21:24:48	1	*\$0.00	68.55
3 24-Sep-25 04:00:00	1	*\$125.00	99.83

Date	Rating	Target Price	Closing Price
4 13-Oct-25 00:10:56	1	*\$150.00	134.61
5 07-Nov-25 00:50:25	1	*\$280.00	239.48
6 19-Jan-26 19:00:00	1	*\$490.00	413.62

Date	Rating	Target Price	Closing Price
7 30-Jan-26 06:41:51	1	*\$750.00	576.25
8 19-Mar-26 06:19:51	1	*\$875.00	772.09

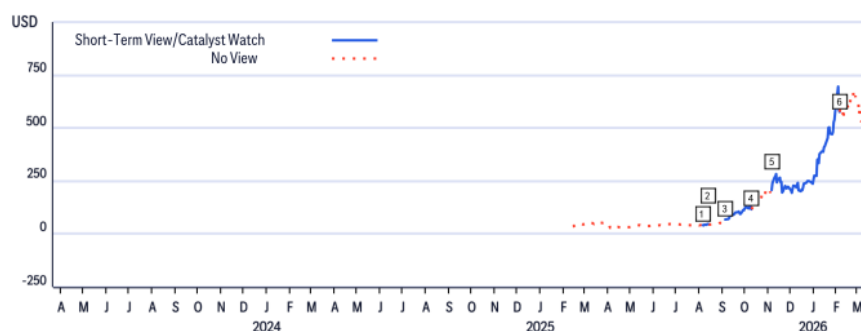
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
6	05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20
7	19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09

CW - Catalyst Watch, STV - Short-Term View

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Catalyst Watch

Data current as of 01 Jan 2026

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